Restoration of Simpler Personal Tax Rate Structure is the Easiest Reform

The personal income tax (PIT) structure was made very simple and streamlined in 1996–97 when tax rates were fixed at 10 per cent, 20 per cent and 30 per cent by dividing the total income on which tax was payable in four slabs of income (there has been an exempt tax slab). In addition, no surcharges were levied.

While one or two surcharges were levied from 1996–97 to 2013–14 for some time as temporary measures, the tax rate structure remained by and large unchanged for about twenty-five years.

The government abolished wealth tax in 2014–15 but imposed a 2 per cent surcharge on income higher than Rs 1 crore in lieu thereof. This was intended to be permanent. This effectively introduced one more tax slab of 30.6 per cent for income higher than Rs 1 crore. The surcharge regime was continuously fiddled with in the next few years. Surcharge was made applicable to incomes between Rs 50 lakh and Rs 1 crore as well.

The surcharge regime became most complicated in the 2019–20 Budget when higher surcharges on income tax were made applicable on assessees with taxable income between Rs 2 crore and Rs 5 crore and those with over Rs 5 crore to tax the super-rich.

With the introduction of these enhanced surcharges, there were effectively eight taxation slabs in the personal income tax in 2020-21: Nil up to Rs 2.5 lakh; 5 per cent for income from Rs 2.5 lakh to Rs 5 lakh; 20 per cent for income from Rs 5 lakh to Rs 10 lakh; 30 per cent for income between Rs 10 lakh and Rs 50 lakh; 33 per cent (30 per cent plus 10 per cent surcharge) for income from Rs 50 lakh to Rs 1 crore; 34.5 per cent (30 per cent plus 15 per cent surcharge) for income between Rs 1 crore and Rs 2 crore; 37.5 per cent (30 per cent plus 25 per cent surcharge) for income between Rs 2 crore and Rs 5 crore; and 41.1 per cent (30 per cent plus 37 per cent surcharge) for income over Rs 5 crore.